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Review of the Global Capitalism Index, with especial attention to the Market Competition sub-index. Prepared for the Karsh Institute of Democracy's Democracy & Capitalism Lab at the University of Virginia.

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I have been asked to review the Global Capitalism Index, giving particular attention to the Market Competition sub-index. The review is divided into the three categories of evaluation as instructed in the Oct. 22, 2025 correspondence with project manager, Chrissy Linsinbigler.

The Market Competition sub-index is composed of three parts: creative destruction; regulatory analysis; and human capital competitiveness. The document begins with a brief introduction of the theoretical framework used to guide the sub-index section. The emphasis of the sub-index is on identifying factors that correlate with productive efficiency, or producing the maximum outputs with the minimum inputs. However, the sub-index quite rightly notes that productive efficiencies are a static concept and what the overall project seeks to find are the drivers of sustained efficiencies and growth. Thus, ultimately, the sub-index is concerned with identifying the drivers of "dynamic competition," or ability of a country to continuously innovate and adapt to changing demands. Ergo, the sub-index is concerned not only with the conditions that foster productive efficiencies but also continues to motivate and incentivize continuous learning, investment, and innovation. This reasoning carries over most forcefully in the "creative destruction" component of the sub-index.

I would first offer my agreement with the strategy but I would temper that with some hesitancy about the singular use of economists' tools and thinking. I agree that the challenge for any country is *both* productive efficiencies and dynamic competition. My reservation seeps in as we consider what we know about dynamic competition and how to bolster or protect it. As I understand it, this is a relatively new field and, at least in antitrust economics, somewhat contentious with regard to its predictive power. We would like to prioritize incentives to invest in innovative technologies, but it can be quite difficult to identify these. Of course, this is not my insight, it is a core concern for the economics profession as covered, in part, by the Schumpeter versus Arrow debate. In turn, the more difficult it becomes to quantify and predict outcomes, the more we rely on our own policy preferences. Or, along a similar line of thinking, there may be more than one rationale for protecting market-oriented competition. For example, historically, within the United States and other western democracies, market competition has been viewed as necessary for fostering economic efficiencies as well as protecting individual rights, such as liberty of contract and free exercise of property rights.

The first component of the market competition sub-index seeks to measure “creative destruction.” The definition of creative destruction is unsurprisingly borrowed from Joseph Schumpeter’s famous book entitled, *Capitalism, Socialism, and Democracy* (1942). In the field of antitrust law economics, there is a long-standing theoretical debate regarding the prioritization of productive versus allocative efficiencies, as well as, and especially more recently, protecting if not enhancing dynamic competition. Dynamic competition is notoriously the most difficult to measure and predict. This component of the sub-index borrows from Mariana Mazzucato’s suggestion that creative destruction could be measured by viewing the correlation between economy-wide growth and market share instability.” [2]

Two issues came to mind when thinking about this measure. First, in a very large and sophisticated economy like the United States, one might worry that the market share instability might not be driving the economic growth. For example, as a hypothetical, you could have market instability in the agricultural sector, driving consolidation of firms, while at the same time, you could observe exuberant investments being made in AI-related data centers, but those investments do nothing to change firm-level stability in separate markets. Second, and more importantly, even where the correlation might be revealing of creative destruction leading to economic growth, many developed countries attempt to mitigate the most painful aspects of creative destruction (bankruptcy and firm closure). But it’s not clear that we should give a higher numerical value for prioritizing market stability at least in the short run. While one might imagine in the short run programs that mitigate market instability, such as tax breaks or subsidies, would tamper the benefits of creative destruction, it could also be true that failure to mitigate market instability would lead—in the longer run—to greater protectionism, nationalism, etc. Indeed, that seems to be the world in which we are living—failure to mitigate the worst effects of “free trade” has created a backlash to the types of economic policies that have helped propel the U.S. up the value chain and capture a greater share of dynamic industries.

This brings me to a second point about the creative destruction component of the sub-index. While I agree with the focus on R&D expenditures as a predictor of (or necessary input for) innovation and growth, to what extent does it matter where the investment originates or how it flows through firms? Recently, I wrote a short essay for University of Chicago’s Booth School of Business *ProMarket* website, “[Whither Pro-Competitive Industrial Policy?](#)” One thing that I emphasized in that piece is the recent economic evidence regarding federal funds targeted at particular research areas (in contrast to broad tariffs to foster infant industries or growth). And, critically, this is an important policy tool of developed world countries, rather than developing countries. There is some exciting new research in this area and it should be considered for inclusion in the index. After all, if we seek to understand R&D investments and we are already measuring university-industry collaboration, why not ask about the federal government use of various types of industrial policy as well?

Major categories of capitalism or datasets we should alter, add, or remove from the Index

None at this time.

Major methodological critiques

I have one critique and one suggestion. First, and as I have written above, I am concerned that the Global Capitalism Index relies too heavily on economic analysis to the detriment of political considerations. While I realize that the choice was both considered and intentional, it nevertheless still seems like an important omission. In considering market competition, for example, we might focus on Silicon Valley as a locus of entrepreneurial activity, investment, and innovation. But, I would argue that we can only partially understand Silicon Valley's sustained success as an industrial district through the measurements offered in the sub-index. We would not be able to capture the DARPA funds that fostered early developments or the open-source inter-firm collaboration that characterized some of the early computer design and build spaces.

My suggestion is to consider providing the Index results within various tranches. For example, I wondered if we might learn more from the relative measures by grouping countries according to a variety of schemes, such as income level. Another alternative might be thinking about low-growth versus high-growth countries. In that way, perhaps the Index provides a more nuanced analysis for what a particular country is trying to achieve, relative to where it has been.

A smaller point: I have not seen the Hirschman Herfindahl Index used to this effect. [10] It is primarily used to gauge market concentration within a properly defined market. So, I was surprised to see it used in this other way in the Data Outline. Also, I was surprised that executive surveys would be used to determine whether markets are competitive—executives tend to over-estimate the amount of competition that they face.

Final evaluation

This is certainly a thought-provoking study and one that will surely generate debate and future research. For me, I am excited to see what happens when the Karsh Institute incorporates democracy into its findings.